

RC pitch deck

The file reads were declined, but the full court record is in the request, so I'm writing the deck directly from it. One housekeeping note before the deck: the standing close-out step (ledger upsert, entry plan, scanner re-run, dashboard verify) could not run this session — file and IBKR tool permissions were denied — so this deck needs to be flowed into the dashboard when a permitted session picks it up. The JSON fence is last, per the auto-arm convention.

PITCH — RC — PROPOSED VERDICT

REJECT — no position at \$1.71; the original mispricing claim was our own arithmetic error, and the corrected math says the market is pricing exactly a zero-recovery outcome on the bad-loan book, which is defensible. PROPOSED — PENDING ADJUDICATION.

What we believe

Ready Capital (RC), a commercial real-estate lender, trades at \$1.71 against a stated book value of \$6.83 per share — a 75% discount. Our original thesis argued the market was destroying \$200–300M more value than the identified bad loans could justify, making the stock an over-punished buy.

That thesis is dead, killed by our own review. The company's Q2 investor supplement (filed as an 8-K exhibit) shows the non-performing loan segment is \$994M of unpaid principal carried at \$846M — a figure **already net** of \$146M in loss reserves. Our reconstruction subtracted the \$277M total reserve from that already-net number, which double-counted and manufactured \$569M of phantom "unreserved" cushion. Done correctly: a total, zero-recovery loss on the bad-loan book costs \$846M, which is \$5.12 per share on 165.2M shares — **exactly** the gap between book value (\$6.83) and the stock price (\$1.71). There is no excess destruction to buy.

What we now believe: RC at \$1.71 is a fairly priced bet on continued deterioration, with three structural problems layered on top. First, bad loans are still forming — \$133M of new delinquencies last quarter, roughly 8.6% of the performing book migrating per quarter, alongside roughly \$40M per quarter of operating losses before realized credit losses. Second, \$119.7M of preferred stock (with ~\$8M/yr of dividends) sits ahead of common shareholders; in a full-wipeout scenario the common's residual is about \$0.99/share — *below* today's price. Third, RC is externally managed by Waterfall Asset Management, whose fees accrue on equity and whose contract carries a termination fee the company's own 10-K says may deter ending the relationship ([10-K](#)). Every path that would deliver residual book value to shareholders — liquidation, sale, wind-down — requires the fee-earning manager to fire itself. Management is instead deepening the Waterfall relationship, not exploring alternatives.

What the market believes

The market is pricing a complete write-off of the non-performing loan book — no more, no less — and treating the discount as compensation for ongoing deterioration rather than a temporary panic. Both of our review benches concluded this is a coherent, defensible view: at the current pace of new delinquencies and operating losses, the remaining book value above the wipeout mark would be consumed within roughly four quarters anyway. Notably, the stock jumped ~10% today (\$1.55 → \$1.71) on roughly four times normal volume, so some buyers are already repricing the post-earnings picture — the “nobody’s looking at this” framing was wrong too.

Why we might have edge

Honestly: we don’t, and this section exists to record what edge *would* look like rather than to claim one.

- If new delinquency formation slows sharply (under ~\$50M/quarter for two straight quarters) while operating earnings before realized losses turn non-negative, the “continuation” the market is pricing stops, and the wipeout mark becomes too harsh.
- If the external manager is terminated, internalized, or a strategic-alternatives process is announced, the realization blockage — the strongest single argument against owning this — is removed.
- If the stock fell **below ~\$0.99** (the residual value after a full bad-loan wipeout and the preferred claim), the market would then be pricing *more* than total destruction, and the original dispersion logic would apply for real.

None of these is true today.

Why it might be priced in

It isn’t just priced in — the pricing is the finding. The discount equals the full-wipeout loss to the dollar, before counting continued bad-loan formation, operating burn, preferred seniority, or the manager problem. Arguably the market is *generous*: with 1.7× recourse leverage (3.0× total), the downside tail is levered, and refinancing of Q4 2026 maturities is still ahead. Resolution channels also arrive fast — monthly CLO trustee reports and the ~November 5 Q3 print — so there is no long information vacuum in which a mispricing could sit undetected.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count / market cap	Q2 press-release balance sheet (SEC direct fetch blocked with 403; via StockTitan mirror)	165,209,516 shares → ~\$282.5M mkt cap. Our evidence pack’s figure (149.8M implied) and XBRL series (170.7M) were both stale — pack error, superseded	Yes (secondary source)
“\$200–300M excess destruction beyond identified losses”	Re-derived from the company’s filed Q2 supplement (8-K exhibit)	The \$846M non-performing carry is already net of \$146M reserves (\$994M principal). Our own thesis double-counted the reserve, inventing	Refuted — our error

Claim	How checked	Found	Confirmed?
		\$569M of cushion. Corrected, the market discount = full wipeout exactly	
Red bench's counter-math ("flow closes the gap")	Blue bench cross-check	Directionally right, but red equated \$133M of new delinquencies with \$133M of losses — not the same thing; a red-bench error , though the kill survives without it	Partially
External manager blocks value realization	Company 10-K + advisor page + Q1-26 earnings call	Termination fee disincentive stated in the 10-K; management deepening Waterfall integration, no strategic-alternatives process	Yes
Preferred stock senior to common	Q1-26 10-Q	\$119.7M liquidation preference (Series C \$8.4M + Series E \$111.4M), ~\$0.72/share. Original thesis never pulled the capital structure — a process failure our checklist exists to prevent	Yes
Delinquency roll figures (\$631M stock, \$133M new)	Provenance trace	Originate in the company's own SEC-filed supplement, reproduced by a secondary site; direct SEC read blocked (403)	Yes (company-authored, read via secondary)
"Stock is flat, waiting costs nothing"	Yahoo daily bars	\$1.53/\$1.59/\$1.54/\$1.55 closes → \$1.71 today, +10.3% on ~4× normal volume	Refuted — it's moving now
Book-value erosion is decelerating	No fitting tool	One data point; partly a timing artifact of discretionary loan sales	No — unverified
Short interest / crowding	IBKR tools	Permission denied this session	No — unverified
Original court-worthiness of 7/10	Both benches	Re-graded to ~3-4/10 — the case never genuinely swung once the arithmetic was fixed	Overstated by us

PROPOSED ENTRY BANDS

No entry at any price today. Both benches vote REJECT; this is not a valuation gate but a thesis kill. Reopen bands, from the benches' own math:

- **Price reopen — below ~\$0.99.** Book \$6.83 – full bad-loan wipeout \$5.12 – preferred claim \$0.72 ≈ \$0.99/share of residual value. Below that, the market prices more than total destruction and the case re-opens for court. This is a *re-examine* trigger, not an automatic buy — the ~\$40M/quarter operating burn and levered tail still need to be re-weighed at that time.
- **Event reopen (any one):** (1) two consecutive quarters of new delinquency formation under \$50M **and** distributable earnings before realized losses at or above zero — first readable at the Q3 print (~Nov 5, unconfirmed) and monthly via CLO trustee reports before that; (2) an announced manager internalization, termination, or strategic-alternatives process; (3) Q4 2026 debt maturities refinanced with no new common shares issued.

- **Sizing:** 0% now. If a reopened court clears it, the prior court's ceiling logic (levered tails, senior preferred) caps this as a small speculative position, not a core holding.
- **Catalyst dates:** ~2026-11-05 Q3 earnings (derived, not company-confirmed); Q4-2026 maturity wall (exact dates not yet pulled from the debt schedule); monthly CLO remittance reports in between.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 0.99 (deck-provisional: book 6.83 minus full NPL wipeout 5.12 minus preferred 0.72 = residual ~0.99; below it the tape prices)
- filing watch: 8-K until 2027-02-04 (deck-provisional: manager internalization/termination, strategic alternatives, or Q4-26 refinancing terms — any one remo)
- dated pack RC|2026-11-05: RC: Q3 2026 earnings (derived date, not company-confirmed) (date confirmed=False)
- dated pack RC|2026-12-31: RC: Q4-2026 debt maturity wall — refinance without common issuance is a reopen trigger; exact dates unpulled (date confirmed=False)

What remains unverified

- **Direct primary reads of the SEC documents** — data.sec.gov returned 403 throughout; every filing fact above was confirmed via mirrors of company-authored documents, not the originals.
- **Short interest, borrow, and crowding** — IBKR access was denied this session; we do not know who is on the other side of today's 4x-volume bounce.
- **Whether book-value erosion is genuinely slowing** — one data point, contaminated by discretionary loan-sale timing.
- **The Q3 earnings date** and the **exact Q4 maturity schedule** (amounts and dates by facility).
- **Loss content of the \$133M new delinquencies** — formation is not the same as loss; severity on the new cohort is unknown.

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